



ADP Compensation and Fee Disclosure Statement

Client Name: Johnstone Supply

Form ID: 2000036986

As of Date: 10/25/2019

Scenario#: Sample OFA

Plan Assets: \$ 2,000,000.00 ¹

Market/Product: SM / Advisor Access

Number of Participants: 23 ²

Number of Eligible Participants: 23

INFORMATION ABOUT COMPENSATION AND FEE DISCLOSURE

Under the Employee Retirement Income Security Act of 1974, as amended ("ERISA"), service providers like ADP are required to disclose information about their compensation and services to assist plan fiduciaries in assessing the reasonableness of their service contracts or arrangements.

This Compensation and Fee Disclosure Statement is intended to help you understand various costs and fees for your company's retirement plan and to highlight the range of the recordkeeping and administrative services provided by ADP and its affiliates included in those costs. We are providing this document for informational purposes.

A STRONG COMPANY IN YOUR CORNER

Data processing and employer services have been our competency for more than 60 years. We simplify the effort involved in managing your retirement program through integrated and automated solutions — making your plan easy to manage. Our goal is to help you focus on what matters — growing your business.

When you partner with ADP, your:

- **Plan fees are not hidden** – At ADP, there are no unknown charges or hidden fees, which makes it easy for you to understand the costs associated with maintaining your plan.
- **Administrative burden is reduced** – Our services reduce the day-to-day administrative tasks to simplify the effort involved with managing your plan.
- **Employees can prepare for retirement** – We help your employees prepare for retirement by educating them about your plan's benefits so they are more likely to enroll. We also provide tools and services to help them get the most out of your plan.

If your plan is integrated with ADP Payroll, the integration between ADP's recordkeeping and payroll systems reduces repetitive administrative tasks. This results in numerous advantages:

Key Features		The Benefit of You
Two-Way Integration	• Automatic transmission of contributions, loan repayments, and employee changes	• Reduction in administrative tasks • Time savings
Data Collection and Reconciliation	• Automatic refresh of employee data from payroll • Reconciliation of data between systems	• Data accuracy and efficiency • Enables more automated processing of participant data
Compliance Services	• Automatic transmission of compensation and census data	• On-demand projected non-discrimination testing

This compensation disclosure is being provided to disclose the direct and indirect compensation that ADP, LLC and its affiliates reasonably expect to receive in connection with our services as well as any other compensation information ADP is required to provide.

This disclosure is intended to meet our obligations under Section 408(b)(2) of the Employee Retirement Income Security Act of 1974, as amended ("ERISA"). In some cases, we may provide additional information in our disclosure about a third party's compensation. We do so either to help you understand fees charged to your Plan for specific services provided by a third-party service provider unaffiliated with ADP or to help you better understand ADP's compensation. Except as specifically noted, any description of a third party's compensation within ADP's compensation and fee disclosure statement is not being provided by ADP on the third party's behalf.

¹ Based on information provided by you to ADP or in ADP's records if ADP currently provides recordkeeping services to your Plan. If this is a start-up plan, the assets will reflect N/A.

² The Number of Participants shown is the number of participants with an account balance in the Plan as provided by you to ADP or in ADP's records if ADP currently provides recordkeeping services to your Plan. If the Plan is a start-up plan, this number reflects your projection for participants with a balance. Once ADP assumes responsibility for recordkeeping Plan transactions, ADP will determine the Per-Participant count for billing purposes based on ADP's records in accordance with ADP's standard billing procedures.



ADP Compensation and Fee Disclosure Statement

RECORDKEEPING AND ADMINISTRATIVE SERVICES

The recordkeeping and administrative services ADP provides includes services related to:

- Plan administration
- Monitoring of plan and participant transactions, and
- Maintenance of covered plan and participant accounts, records and statements.

These services may include:

Plan Accounting and Maintenance	Plan Sponsor Services	Participant Services
✓ Transaction Processing and Account Maintenance Contribution, loan initiation and repayment, distribution, and withdrawal processing Maintain census information provided by client Maintain transactional, financial, and account information including vesting records Process participant investment instructions ✓ Participant Statements ✓ Trustee Administrative Services Make available the services of an Institutional Trustee Make available ERISA Fidelity Bond coverage Recordkeeping and reconciliation of investment fund positions Facilitate money movement to/from investment funds ✓ Plan Document Services Prototype Plan Document, including required amendments for changes in law Summary Plan Description and updates as required ✓ Payroll-Related Services As appropriate, assistance in setting up your payroll file For ADP Payroll clients, two-way connectivity between ADP Payroll and the ADP Retirement Services recordkeeping system	✓ Compliance Services Testing, including periodic and comprehensive year-end testing Consultation on testing results Form 5500 and Summary Annual Report preparation ✓ Plan Notice Delivery Services ✓ Tax Withholding and Reporting ✓ Investment-Related Services Investment platforms that include investment options representing all major asset categories ✓ Client Service Support Client Service Team to support day-to-day administration of your plan Plan Resource Center (Web site) that provides: • Plan information at your fingertips • Plan Sponsor education • Task list reminding you what you need to do and when Client training to familiarize you with ADP's recordkeeping procedures, reports, and operating guidelines	✓ Inquiry, Transaction, Education, and Planning Tool Services Participant Web site and interactive Voice Response Unit (VRU) System Participant Call Center ✓ Education Services Ongoing participant education including printed materials, in-person meetings, and virtual seminars Participant education planning to address specific needs A national network of Education Specialists available to support your employee education needs ✓ Enrollment Services Enrollment materials designed to motivate and educate the participants on the value of this important employee benefit



ADP Compensation and Fee Disclosure Statement

COST OF RECORDKEEPING SERVICES

The services ADP provides to your Plan pursuant to our Administrative Services Agreement are limited to recordkeeping and administrative services that fall within the definition of “recordkeeping services” under the Department of Labor’s Section 408(b)(2) regulations. Your plan’s total cost for our recordkeeping and administrative services is the total of all compensation we receive directly from you, from your Plan, and from third party sources for services to investment funds and certain other services, as disclosed in this Compensation and Fee Disclosure Statement and in the ADP Investment Fund Expense and Compensation Disclosure.

DIRECT COMPENSATION SCHEDULE

Recurring Plan-Level Recordkeeping/Administrative Services Fees

The fees set forth in this Direct Compensation Schedule may be charged directly to your Plan, depending upon your method of payment election as indicated below.

Plan-Level Processing Fees

Fee Type	Monthly Fee		
Base Recordkeeping Fee			\$ 280.00
5500 Preparation fee			Included
Trustee Fee ³			Included
Education and Enrollment Services ⁴			\$ 0.00
	Charge	# of participants ⁵	Monthly Fee
Per Participant Fee ⁵	\$ 9.80	23	\$ 225.40
each			

** ADP will waive the Plan-Level Processing Fees listed above as they are incurred, up to a maximum of \$1,500.00, during the 18-month period starting on the date as of which ADP assumes responsibility for recordkeeping Plan transactions. Once the \$1,500.00 waiver ceiling has been reached, the Plan-Level Processing Fees shown above will apply. \$600.00 of the amount waived is contingent upon ADP providing recordkeeping services for your Plan for the entirety of this 18-month period and will become due and payable should you transfer your Plan’s assets and records to a new service provider before this period ends.*

³ This fee represents ADP’s charge for ADP’s administrative services to support this service. The service is provided to your plan by a third-party service provider that enters into an agreement directly with you.

⁴ The enhanced Education and Enrollment Services fee includes access to customized educational and marketing materials, web-based training or enrollment meetings, plan-specific education and communication program, participant educational support (e.g., communication planning, workshop approaches, collateral support), onsite educational support annually and , if selected, a plan health review conducted annually by a Relationship Manager. The fee does not include any physical mailing and production costs associated with client requests which is billed at cost.

⁵ The Per-Participant Fee is an estimate based on the number of participants with an account balance in the Plan as provided by you to ADP or in ADP’s records if ADP currently provides recordkeeping services to your Plan. If the Plan is a new plan, this number reflects your projection for participants with a balance. The total Per-Participant Fee will change as the number of participants changes, pursuant to the Per-Participant Fee formula stated above. Once ADP assumes responsibility for recordkeeping Plan transactions, ADP will determine the Per-Participant count for billing purposes based on ADP’s records in accordance with ADP’s standard billing procedures.



ADP Compensation and Fee Disclosure Statement

DIRECT COMPENSATION SCHEDULE,continued

Plan-Level Optional Services Fees

The following describes the recurring, plan-level fees charged by ADP or collected by ADP on behalf of a third-party service provider in connection with additional, optional services that have been elected by the Plan Sponsor. Additional fees and compensation, if any, associated with such services are set forth in the applicable sections of this disclosure.

Fee Type	Total Fee
No Additional Services	
The estimated total recurring amount shown is comprised of recurring monthly fees for which a dollar amount is shown in the Recurring Plan-Level Recordkeeping / Administrative Services Fees Section above (Plan-Level Processing Fees and Plan-Level Optional Services Fees, if any). This amount includes any such recurring fees for which a dollar amount is shown that ADP collects on behalf of a third party service provider, and excludes any such fees described above that are expressed only as a formula (no recurring dollar amount shown). This total is based in part on estimated amounts, as explained in the footnotes provided where applicable, and thus will change as any variables used to calculate fees change. Actual fees will be reflected on your invoice.	Estimated Total Recurring Plan-Level Recordkeeping/Administrative Services Fees \$ 505.40



ADP Compensation and Fee Disclosure Statement

DIRECT COMPENSATION SCHEDULE, continued

Plan Set-Up/Conversion Fees

These non-recurring fees apply to the start-up or conversion of the plan from another provider [or initial implementation of a cross-tested employer contribution formula, if applicable], and are charged for services related to installation, initial participant enrollment, and/or plan documentation set-up.

Fee Type	Total Fee
Set-Up Fee	\$ 0.00

Termination Fees

The following fees apply only if the Plan Sponsor terminates services with ADP by converting to a new recordkeeper or legally terminating the Plan.

Fee Type	Total Fee
Conversion/Plan Termination	\$ 1,500.00

There are no prepaid fees for which ADP provides a refund on termination of services.

Plan-Level Fees Method of Payment Billed/Collected Monthly

Percent to be billed to Plan Sponsor	100%
Method of Payment:	Direct debit fees from Plan Sponsor's designation bank account
Percent to be charged to the Trust	0%

Please note: The information in this section reflects the general payment method you have elected for this Plan.

In the event a client fails to remit fees owed to ADP for any reason, ADP reserves the right and will be deemed to be directed to charge the invoiced amount against the Plan's trust in accordance with the Administrative Services Agreement. Please see your Administrative Services Agreement for further details.

The option to charge fees to the Trust as a general method of payment is not available for new start-up plans.

Participant Level Processing Fees

The following fees are charged for processing certain transactions or providing certain services your participants may request or elect and will be charged to the account of the participant that requests the transaction or elects the service unless otherwise directed by the Plan Sponsor. Transaction fees will be charged at the time of the transaction. Fees for participant-elected services will be charged as indicated.

Fee Type	Fee Per Transaction or Description
Loan Initiation	\$ 125.00 per loan
Benefit Disbursement Lump Sum/Direct Transfer/Withdrawal	\$ 55.00 per distribution
Stop Pay / Reissue and Special Handling	\$25.00 per stop and reissue



ADP Compensation and Fee Disclosure Statement

INDIRECT COMPENSATION SCHEDULE

This schedule discloses indirect compensation that ADP, LLC, its affiliates, and its subcontractors, if any, reasonably expect to receive in connection with ADP's services to your Plan. Indirect compensation is compensation received from any source other than your company, the Plan's Trust, ADP, LLC, or an ADP affiliate, if any, in connection with ADP's services to your Plan. With the exception of float on contributions, which is received in the form of investment/interest earnings, the indirect compensation payments described below are paid to ADP by third parties out of their general assets or revenues.

Compensation Item	Indirect Compensation Description	Services Provided / Description of Arrangement	Payer of Indirect Compensation																								
Interest Income, or "float" on contributions and plan loan repayments	The following applies to ACH transactions: ADP receives Float on contributions and plan loan repayments following the date that these amounts are debited from an employer's bank account, but prior to the date they are forwarded to the trustee of the plan. The period that ADP will earn Float is generally one business day. ADP invests funds that it has impounded from clients' bank accounts in or pursuant to a variety of investments. The rate of Float earned by ADP is approximately the overnight effective federal funds rate. If you are a prospective ADP client or an existing ADP client reexecuting your Administrative Services Agreement (for example, by signing a new Plan Application), see the Administrative Services Agreement for additional information. Otherwise, please contact us if you require additional information.	This Float is part of ADP's overall contractual compensation for services provided under your Administrative Services Agreement in connection with your plan.	Float is paid by the investment vehicles in which ADP invests impounded funds.																								
Interest or similar income, ("Float") on disbursements	If you are a prospective ADP client or an existing ADP client reexecuting your Administrative Services Agreement (for example, by signing a new Plan Application), the following describes ADP's Float compensation on disbursements. Otherwise, your existing disbursement float arrangement will not change. If you have questions, please contact us. ADP will retain Float on disbursement checks issued from the disbursement account maintained with respect to the Plan pending the cashing of those checks by recipients. Float is earned generally from the date the checks are mailed until the date the recipient cashes the check and the check clears (or if it is not cashed, the date that the check is returned to the Plan's trust). ADP will earn Float at a money market rate of interest provided by the bank at which the account is held. See the Administrative Services Agreement for additional information.	Disbursement services on behalf of the bank at which the disbursement account is held. In addition, this Float is part of ADP's contractual compensation for services provided under your Administrative Services Agreement in connection with your plan.	State Street Bank and Trust Company or an affiliate thereof.																								
Small Balance Rollover Program —Transaction Processing Fee for Rollovers to Millennium Trust Company	For plans that elect to participate in the ADP Small Balance Rollover Program with The Millennium Trust Company, ADP receives a transaction processing fee for each small balance rollover IRA processed by DST Wealth Management Systems, Inc. for transmission to The Millennium Trust Company on behalf of a nonresponding participant. If your plan document provides that rollover accounts are excluded when determining if an account balance is cashout-eligible, those accounts are still included in the amount rolled over in a cashout, so that amounts actually rolled over to a small balance rollover IRA could exceed \$5,000. The transaction processing fee that ADP receives is as follows: <table><tr><th>If the account balance transferred is at least</th><th>But less than</th><th>The transaction processing fee is</th></tr><tr><td>\$0.00</td><td>\$500</td><td>\$0.00</td></tr><tr><td>\$500</td><td>\$1,000</td><td>\$2.00</td></tr><tr><td>\$1,000</td><td>\$10,000</td><td>\$9.00</td></tr><tr><td>\$10,000</td><td>\$50,000</td><td>\$15.00</td></tr><tr><td>\$50,000</td><td>\$100,000</td><td>\$50.00</td></tr><tr><td>\$100,000</td><td>\$500,000</td><td>\$100.00</td></tr><tr><td>\$500,000</td><td></td><td>\$500.00</td></tr></table> Note: If an automatic rollover for a participant includes both amounts attributable to Roth elective deferrals and amounts that are not attributable to Roth elective deferrals, two IRAs (a Roth IRA and a traditional IRA) will be established for the participant as required by law. ADP will receive the one- time transaction processing fee described above for each IRA established.	If the account balance transferred is at least	But less than	The transaction processing fee is	\$0.00	\$500	\$0.00	\$500	\$1,000	\$2.00	\$1,000	\$10,000	\$9.00	\$10,000	\$50,000	\$15.00	\$50,000	\$100,000	\$50.00	\$100,000	\$500,000	\$100.00	\$500,000		\$500.00	Providing administrative services and data to facilitate establishment of small balance rollover IRAs at The Millennium Trust Company. This compensation is paid to ADP under an agreement between DST and ADP, under which DST provides a platform for establishing rollover IRAs for small balance cashouts and ADP provides administrative services and data to DST for establishment of the IRAs.	DST Wealth Management Systems, Inc. ("DST")
If the account balance transferred is at least	But less than	The transaction processing fee is																									
\$0.00	\$500	\$0.00																									
\$500	\$1,000	\$2.00																									
\$1,000	\$10,000	\$9.00																									
\$10,000	\$50,000	\$15.00																									
\$50,000	\$100,000	\$50.00																									
\$100,000	\$500,000	\$100.00																									
\$500,000		\$500.00																									



ADP Compensation and Fee Disclosure Statement

Compensation Item	Indirect Compensation Description	Services Provided / Description of Arrangement	Payer of Indirect Compensation
Self-Directed Brokerage Account Services provided by TD Ameritrade – Compensation paid to ADP by TD Ameritrade, Inc.	For plans that elect self-directed brokerage account services provided by TD Ameritrade, TD Ameritrade will make a quarterly payment to ADP, in arrears, equal to 0.015% of the value of ADP client plan assets in TD Ameritrade brokerage accounts ("Plan Assets") during the quarter, based on the average of Plan Assets held on the last business day of each month in the quarter.	ADP provides administrative and systems support services in support of the TD Ameritrade self-directed brokerage account service. This compensation is paid to ADP under an agreement between TD Ameritrade, Inc. and ADP, LLC, under which ADP makes available to its clients self-directed brokerage account services provided by TD Ameritrade.	TD Ameritrade, Inc.
Rollover Referral Fee for certain rollover IRAs established at American Century Investment Services	For plans that participate in the American Century Investments ("ACI") Rollover IRA Program (the "Program"), ADP may receive a Referral Fee if a participant ADP refers to ACI rolls over a distribution to ACI. The Referral Fee is 0.25% per year on rollover IRA assets invested in a fund other than a money market fund, calculated and paid quarterly on accounts of \$10,000 or more. The account will remain eligible to be considered for compensation until it reaches a date which is 4 years after the establishment date of the rollover account. This same referral fee structure is in place for any ACI account established and funded after the creation of a rollover account for an investor with the same address and meets the criteria of a "Qualified Household Account." In addition to the Referral Fees, ADP receives a quarterly payment from ACI of approximately \$2.00 - \$3.00 for each plan participating in the Program (based on the current number of defined contribution plans for which ADP currently performs administrative and recordkeeping services and have the rollover services available). The actual amount of the fee on a per plan basis will vary based on the total number of plans. These additional fees support the business operations and growth of the participant services organization.	This compensation is paid to ADP under an agreement between American Century Investment Services, Inc. and ADP, under which ACI provides a platform for terminated participants to establish a rollover IRA with ACI investment funds and ADP markets the program to plan sponsors, presents the Program to participants, and assists ACI in reconciling rollovers.	American Century Investment Services, Inc.

ADP employees may from time to time receive items of nonmonetary compensation from third parties in the form of meals, gifts, entertainment or travel. Such items must be in accordance with ADP's Code of Business Conduct and Ethics, which imposes limits on the receipt of nonmonetary compensation. We expect the value involved to be de minimis in the context of our compensation for services to your Plan.



ADP Compensation and Fee Disclosure Statement

INDIRECT COMPENSATION FOR SERVICES TO INVESTMENT FUNDS

ADP receives a broad range of compensation for services to or on behalf of the investment funds made available to your plan or their affiliates. These services may include distribution services (including marketing), communication services, shareholder servicing (including furnishing personal or other services and assistance, answering routine inquiries regarding a fund, assisting in changing dividend options, account designations and addresses, assistance with changing shareholder account designations and maintaining such recordkeeping accounts or such other services as the fund may require), subaccounting and administrative services (including, among others, order processing and recordkeeping). This compensation generally is paid to ADP by the investment fund (or the fund's distributor, transfer agent, or other agent). In general, these amounts are paid to ADP Broker-Dealer, Inc., but in some cases where permitted by law, may be paid to ADP, LLC. For the most part, this compensation ranges from 0.00% to 0.75% based on your Plan's average daily balance in the investment funds. There are some funds that pay ADP more. In general these amounts are reflected in a fund's annual operating expenses. In some cases, some portion of these amounts may be paid out of a fund affiliate's own assets.

Depending on the investment funds or investment tier you elect, ADP may make periodic payments out of its revenue to your Plan or the broker-dealer with whom your advisor is associated. If applicable, these payments are explained in the section of this disclosure entitled "Payments to the Plan or Broker-Dealer." Any such payments reduce the overall compensation ADP retains in connection with your Plan.

In addition to the indirect compensation paid to ADP for services to investment funds, investment fund organizations may occasionally reimburse or share expenses with ADP (for example, through sponsorship or cosponsorship with ADP sales associates of seminars and similar presentations to advisors or prospective clients) or furnish ADP sales associates with research papers, analyses on industry trends, and similar materials that may be of assistance in ADP's marketing efforts. We expect any value involved to be occasional and limited as well as de minimis in the context of our compensation for services to your Plan.



ADP Compensation and Fee Disclosure Statement

Please note: The following paragraph does not apply to existing Client plans. Except as provided for in this paragraph, ADP's fees for the services it provides as quoted above shall be firm for 90 days from the quotation "as of" date at the beginning of this Compensation and Fee Disclosure Statement and for an additional 30 days after the date of Client's signature below and are subject to change by ADP if the Administrative Services Agreement (ASA) is not accepted by Client by no later than 30 days after the date of Client's signature below. Notwithstanding the foregoing, at any time following the aforementioned "as of" date until the date that the Administrative Services Agreement is executed by Client, we reserve the right to re-quote if actual assets or number of plan participants subsequently vary by more than 10% from the amount or number, respectively, provided on the date of the original quote.

ACKNOWLEDGEMENT

The undersigned represents that s/he is an appropriate person to receive this Compensation and Fee Disclosure Statement, or is receiving it on behalf of an appropriate person, for purposes of Section 408(b)(2) of the Employee Retirement Income Security Act of 1974, as amended ("ERISA"), and acknowledges receipt of the foregoing disclosures.

Plan Sponsor Signature:

By: _____
Title: _____
Date: _____



ADP Compensation and Fee Disclosure Statement

The below provides a general summary of plan features and optional services that will be used by ADP for plan set-up purposes and is for ADP Internal Use only:

Assumptions		Plan/Operational Elements
Estimated Number of Participants	23	
Estimated Plan Assets	\$ 2,000,000.00	
Core Education	Yes	
Participant Level Processing Fees Method Of Payment		
Loan Initiation Payment Method	Participant	
Benefit Disburse Withdrawal Payment Method	Participant	
Benefit Disburse Lump Sum/Direct Transfer payment Method	Participant	
Comments		

4363976

Free months: 3

Exception Code: 4303